Pinnacle Utilities Holdings

Board update - Q3 2026 · For the board meeting of 12 November 2026

Company code CO-034 · Water treatment · Hamburg, Germany · Prepared by the CEO and CFO

1. Summary for the board

- Q3 2026 revenue was USD 133.94m, USD 1.63m above the target of USD 132.31m: the first quarter on or above target in 2026.
- Q1 and Q2 2026 both missed target, so year-to-date revenue of USD 368.93m is USD -7.82m (-2.1%) against the YTD target of USD 376.75m.
- YTD EBITDA is USD 227.58m, an EBITDA margin of 61.7%.
- The tariff review with the Hamburg regulator is the main item for decision (section 4).

2. Quarterly results 2026

Quarter	Revenue	Target	Variance	EBITDA
Q1 2026	USD 111.85m	USD 115.72m	USD -3.87m	USD 68.64m
Q2 2026	USD 123.14m	USD 128.72m	USD -5.58m	USD 77.02m
Q3 2026	USD 133.94m	USD 132.31m	USD 1.63m	USD 81.92m
YTD 2026	USD 368.93m	USD 376.75m	USD -7.82m	USD 227.58m

The first-half misses came from lower industrial water volumes after two large customers cut production. Volumes recovered in Q3, helped by a dry summer and a new supply contract with a food processing plant.

3. Operations and balance sheet

Hamburg Water treatment plant (501 ML/day, in service since 23 December 2005, book value USD 964.4m) ran at an average of 81% of capacity in Q3, with no compliance breaches. Capex rose from USD 102.1m in FY2024 to USD 186.1m in FY2025 for the membrane filtration upgrade, which is now 70% complete. Net debt was USD 2,568.5m at the end of FY2025 (9.7x FY2025 EBITDA of USD 265.2m).

4. Decisions requested

- Approve the submission of the 2027-2031 tariff proposal (average real increase of 2.4% per year).
- Approve a further USD 45m of capex to complete the membrane filtration upgrade in 2027.
- Note the plan to refinance the 2028 bank loan early if rates stay at current levels.

5. Risks to watch

- Industrial demand: the two customers that cut volumes have not confirmed 2027 orders.
- Regulation: the tariff decision is expected in Q2 2027; a lower outcome would cut FY2028 revenue.
- Energy costs: electricity is about 18% of operating costs and is hedged only to mid-2027.

Shareholding: the portfolio fund owns 100% of Pinnacle Utilities Holdings since 2 April 2022.

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